EXECUTIVE SUMMARY

A. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 590.

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 32,858 in a 6,572 households (Actual data from the MHO based on BHW Census 2013). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Allacapan, like any other local government units exercise its powers and operating the same as provided in RA 7160 otherwise known as the Local Government Code of the Philippines. It discharges functions necessary for efficient and effective provision of the basic services and facilities such as infrastructure facilities, solid waste disposal, social and health services, information services, support for education, police and fire services and facilities. It is also endeavors to be self-reliant and continues exercising the powers and discharging the duties and functions and responsibilities of national agencies as developed.

During the year, the Local Government Unit concentrated in the concreting/rehabilitation roads.

B. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2015 and 2014:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2015	2014	Increase (Decrease)
Assets	102,871,448.89	94,664,239.63	8,207,209.26
Liabilities	18,775,321.82	19,817,782.11	(1,042,460.29)
Government Equity	84,096,127.07	74,846,457.52	9,249,669.55
b. Income and Expenses			
Income	104,467,105.52	93,356,265.87	11,110,839.65
Expenses	78,146,505.47	76,476,900.99	1,669,604.48

c. Appropriations/Obligation

Appropriations	88,919,992.35	97,343,572.78	(8,423,580.43)
Obligations	71,328,783.71	84,882,178.10	(13,553,394.39)

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2015	2014	Increase (Decrease)
Suspensions	-	-	-
Disallowances	2,473,978.00	52,400.00	2,421,578.00
Charges	-	-	
Total	2,473,978.00	52,400.00	2,421,578.00

The Municipality's assets and equity increased by ₱8,207,209.26 and 9,249,669.55 respectively and the Municipality's liabilities decreased by ₱1,042,460.29.

Total income amounted to 104,467,105.52 for the year which is 11,110,839.65 higher than last year's total income amounted to 93,356,265.87. A total amount of 88,919,992.35 was appropriated during the year of which 71,328,783.71 was obligated.

C. Operational Highlights

The major accomplishments of the Municipality in CY 2015 are the following:

20% Development Fund	Targets	Accomplishment	% of Completion
Construction of Potable Water System	900,000.00	304,002.10	33.78%
Construction of Municipal Boundery Marker	650,000.00	644,074.28	99.09%
Rural Electrification Project	250,000.00	163,563.57	65.43%

D. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Allacapan for the year ended December 31, 2015. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

E. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and

Equipment, as well as the correctness and validity of the account valued at ₱37,459,508.77 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

F. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. Collections were not deposited intact and regularly with the authorized depository bank resulting to Cash in Local Treasury balance of ₱3,517,692.71 contrary to Section 28 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

We recommended that the Municipal Treasurer deposit intact all her collections, as well as collections turned over to her by the collectors, with authorized depository bank daily or not later than the next banking day and comply with the provisions of pursuant COA Circular No. 92-382 dated July 3, 1992, COA Circular 2002-003 dated June 20, 2002 and Section 30 of the NGAS for LGUs (Volume I).

2. Confidential and/or intelligence fund amounting to P150,000.00 was not recorded as cash advances in the book, in addition no evidence or proof of liquidation was submitted in violation of Joint Circular No. 2015-01 dated January 8, 2015.

We recommended that Management strictly follow the guidelines on the entitlement, release, use, reporting and audit of Confidential Fund (CF) and/or Intelligence Fund (IF) prescribed in COA-DBM-DILG-GCG-DND Joint Circular No. 2015-01 dated January 8, 2015.

3. Cash Advances granted for travels and other specific purpose amounting to P1,144,123.19 remained unliquidated as of December 31, 2015 contrary to Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that the Accounting Department follow strictly the provisions Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997. Require the Accountable Officers to settle immediately their cash advances to avoid withholding of salaries.

4. Real Property Tax Receivables/Special Education Tax Receivables was not established at the beginning of the year due to the failure of the Municipal Treasurer to submit a certified list showing the name of taxpayers and the amount due and collectible in violation of Section 20 of COA Circular 2002-003 dated June 20, 2002.

We recommended that the Municipal Treasurer submit to the Municipal Accountant duly certified list showing the name of taxpayers and the amount due and collectible as basis of the Municipal Accountant to draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivables/Special Education Tax Receivables and crediting Deferred Real Property Tax Income/Special Education Tax Income at the beginning of the year as provided in Section 20 of COA Circular 2002-003 dated June 20, 2002 which is the Manual on the New Government Accounting System.

5. The physical existence and condition of the Property, Plant and Equipment, as well as correctness and validity of the account valued to ₱37,459,508.77 (net of depreciation) as of December 31, 2015 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119,120 and 124 of the New Government Accounting System (NGAS) Manual.

We reiterate our previous year's audit recommendations that the Local Chief executive create an Inventory Committee to conduct the required physical inventory of all properties and to prepare and submit to the auditor concerned the required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year.

Likewise, instruct the Municipal Accountant and the Municipal Treasurer to maintain Property Ledger Cards and to reconcile the RPCPPE with the accounting records.

G. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (12) recommendations embodied in the previous Annual Audit Report, two (2) were fully implemented, one (1) were partially implemented and the remaining nine (9) was not implemented.